VIRTUAL GALAXY INFOTECH LIMITED

AUDITED FINANCIAL STATEMENTS

FOR THE PERIOD

01ST APRIL 2024 TO 31ST DECEMBER 2024

AUDITED BY:

RKAS & COMPANY

CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

To,

The Members of Virtual Galaxy Infotech Limited
(Formerly known as Virtual Galaxy Infotech Private Limited)

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the financial statements of **Virtual Galaxy Infotech Limited (Formerly known as Virtual Galaxy Infotech Private Limited)** ("the Company"), which comprise the standalone balance sheet as at 31st December 2024, and the statement of Profit and Loss, and statement of cash flows for the period then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements').

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with accounting principles generally accepted in India, of the state of affairs of the Company as at 31st December 2024 and its Profit and its cash flows for the period ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.

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Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period.

We draw attention to the **Note 2.30** which highlights the changes in the number of weighted average equity shares considered for calculation of basic earnings per share for the period ended 31st December 2024.

These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.
In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act.

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This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.

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- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of or works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

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From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements -

1 As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the **"Annexure A"**, a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 As required by Section 143(3) of the Act, we report that:

a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account

d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

e) On the basis of the written representations received from the directors as on 31st December 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31st December 2024 from being appointed as a director in terms of Section 164 (2) of the Act.

f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in **"Annexure B";** and

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Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls with reference to Standalone Financial Statements. And;

g) With respect to the other matters to be included in the Auditors Report in accordance with the requirement of section 197(16) of the Act, as amended: In our opinion and to the best of our information and according to the explanations given to us, the company has paid remuneration to its director.

h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company did not have any pending litigation on its financial position in its financial statements.

ii. The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

iv. a) The management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or securities premium or any other sources or kind of funds) by the Company to or in any person(s) or entity(ies), including foreign entities ('the intermediaries'), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ('the Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;

b) The management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ('the Funding parties'), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf

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of the Funding party (‘Ultimate Beneficiaries’) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

c) Based on such audit procedures performed as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the management representations under sub-clauses (a) and (b) above contain any material misstatement.

v. The Company has neither declared nor paid dividend during the year.

vi. On the basis of our examination which included test check, the Company, in respect of financial year commencing from 1st April, 2024, has used an accounting software for maintaining the books of account which has feature of recording audit trial (edit log) facility and the same has been operated throughout the period ended 31^{st} December, 2024 for all the relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trial being tampered.

ASHISH SHAHU
Partner
Membership No. 150960
For and on Behalf of
RKAS & Co.
Chartered Accountants
FRN. 135727W
UDIN: 25150960BMLHPH6689
Nagpur, dated the
10^{th} March 2025

ANNEXTURE 'A' TO THE INDEPENDENT AUDITOR'S REPORT

The Annexure referred to in the Independent Auditors' Report to the Members of the Company on the Financial Statements for the period ended 31st December 2024, and on the basis of information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we report that:

1. In respect of the Company's fixed assets:

a) A) The Company has maintained proper records, showing full particulars, including quantitative details and situation of the fixed assets.

B) The company is maintaining proper records showing full particulars of intangible assets.

b) The Company has a program of verification to cover all the items of fixed assets in a phased manner which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain fixed assets were physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.

c) According to the information and explanations given to us, the records examined by us and based on the examination we report that there are no immovable properties in the name of company, hence this clause is not applicable.

d) The Company has not revalued its Property, Plant and Equipment or intangible assets during the year. Therefore, the reporting as per paragraph 3(I) (d) of the order is not required.

e) No proceedings have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder. Accordingly, reporting under clause 3(i)(e) of the Order is not applicable to the Company.

2. a) We are informed that inventories have been physically verified by the management during the year and also at the end of the year. In our opinion, the frequency of verification is reasonable. In our opinion and according to the explanations given to us, the procedures of physical verification of inventories followed by the Management are reasonable and adequate in relation to the size of the Company and the nature of its business.

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b) In our opinion and according to the information and explanations given to us, the Company is maintaining proper records of inventories. The discrepancies noticed on verification between physical stocks and book records were not more than 10% in each class and have been properly dealt with in the books of accounts.

c) According to the information and explanations given to us, the Company has been sanctioned working capital limits in excess of Rs. 5 crores, in aggregate, at points of time during the year, from banks on the basis of security of current assets. In our opinion and according to the information and explanations given to us, the quarterly returns or statements comprising stock statements, statements on analysis of the debtors and creditors along with other stipulated financial information filed by the Company with such banks are in agreement with the books of account of the Company of the respective quarters and no material discrepancies have been observed.

3. During the period, the Company has not made investments, provided any guarantee and security and granted any loans and advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties hence clause 3(iii)a to 3(iii)f is not applicable to the company.

4. In our opinion and according to the Information and explanations given to us, the Company has complied with the provision of Section 185 and 186 of the Act, with respect to loans and investments made and securities offered as Lien.

5. In our opinion, and according to the information and explanations given to us, the Company has not accepted any deposits or there is no amount which has been considered as deemed deposit within the meaning of sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended). Accordingly, reporting under clause 3(v) of the Order is not applicable to the Company.

6. The maintenance of cost records has not been specified by the Central Government under sub section (1) of section 148 of the Companies Act, 2013 for the business activities carried out by the Company. Hence, reporting under clause (vi) of the order is not applicable to the company.

7. According to the records, information and explanations, provided to us, the Company is generally regular in depositing with appropriate authorities undisputed amounts including ESIC if any, P.F., T.D.S., P.T. and GST and other statutory dues applicable to it and no undisputed amounts payable were outstanding as on 31st December, 2024 for a period of more than six months from the date they become payable.

8. According to the information and explanations given to us and the records of the Company examined by us, as at 31st December, 2024, there were no such transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).

9. a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

b) The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.

c) In our opinion and according to the information and explanations given to us, money raised by way of term loans were applied for the purposes for which these were obtained.

d) Accordingly, to the information and explanation given to us and the procedures performed by us, and on an overall examination of the financial statements of the Company, we report that no funds raised on short term basis have been used for long term purposes by the company.

e) According to the information and explanations given to us and on an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary. Accordingly, reporting under clause 3(ix)(e) of the Order is not applicable to the Company.

f) According to the information and explanations given to us, the Company has not raised any loans during the year on the pledge of securities held in its subsidiary. Accordingly, reporting under clause 3(ix)(f) of the Order is not applicable to the Company.

10. a) The Company did not raise moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.

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b) The Company has made private placement of shares during the year. For such allotment of shares, the Company has complied with the requirements of section 42 and 62 of the Companies Act, 2013, and the funds raised have been, prima facie, applied by the Company during the year for the purposes for which the funds were raised. The Company has not made preferential allotment or private placement of convertible debentures (fully or partly or optionally) during the year.

11. a) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the period covered by our audit.

b) No report under Section 143(12) of the Act has been filed with the Central Government for the period covered by our audit.

c) According to the information and explanations given to us including the representation made to us by the Management of the Company, there are no whistle-blower-complaints received by the Company during the year.

12. The Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it. Accordingly, reporting under clause 3(xii) of the Order is not applicable to the Company.

13. In our opinion and according to the information and explanations given to us, all transactions entered into by the Company with related parties are in compliance with Sections 177 and 188 of the Act, where applicable. Further, details of such related party transactions have been disclosed in the Standalone Financial Statements, as required Accounting Standards, Related Party Disclosures specified in under Section 133 of the Act.

14. a) In our opinion and based on our examination, the Company does not have an internal audit system and is not required to have an internal audit system as per the provisions of section 138 of the Companies Act 2013.

b) Since the Company is not required to have the internal audit system hence the clause 3(xiv)(b)is not applicable to the company.

15. According to the information and explanation given to us, the Company has not entered into any non-cash transactions with its Directors or persons connected with them and accordingly, provisions of Section 192 of the Act are not applicable to the Company.

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16. a) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) & (b) of the Order is not applicable.

b) In our opinion, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and accordingly reporting under clause 3(xvi)(c) & (d) of the Order is not applicable.

17. The Company has not incurred any cash loss in the current as well as the immediately preceding financial year.

18. There has been no resignation of the Statutory Auditors during the year. Accordingly, reporting under clause 3(xviii) of the Order is not applicable to the Company.

19. According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the Standalone Financial Statements, our knowledge of the plans of the Board of Directors and Management, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of Balance Sheet as and when they fall due within a period of one year from the Balance Sheet date. We, however, state that this is not an assurance as to the future viability of the Company.

We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the Balance Sheet date, will get discharged by the Company as and when they fall due.

20. Since the provisions of section 135 of the Companies Act, 2013 with regard to Corporate Social Responsibility are not applicable to the company, hence clause 3(xx) of the order is not applicable.

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21. The reporting under clause 3(xxi) is not applicable in respect of audit of standalone financial statements of the company. Accordingly no comment has been included in respect of said clause under this report.

ASHISH SHAHU
Partner
Membership No. 150960
For and on Behalf of
RKAS & Co.
Chartered Accountants
FRN. 135727W
UDIN: 25150960BMLHPH6689
Nagpur, dated the
10th March 2025

"ANNEXURE B" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF VIRTUAL GALAXY INFOTECH LIMITED (FORMERLY KNOWN AS VIRTUAL GALAXY INFOTECH PRIVATE LIMITED)

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of **Virtual Galaxy Infotech Limited** as of 31st December, 2024 in conjunction with our audit of the Standalone financial statements of the Company for the period ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

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Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the Standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Standalone financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

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Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st December 2024 based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

ASHISH SHAHU
Partner
Membership No. 150960
For and on Behalf of
RKAS & Co.
Chartered Accountants
FRN. 135727W
UDIN: 25150960BMLHPH6689
Nagpur, dated the
10th March 2025

VIRTUAL GALAXY INFOTECH LIMITED
(Formerly known as Virtual Galaxy Infotech Private Limited)
Balance Sheet as on 31st December 2024

(Fig in ₹)

PARTICULARS		Note No.	31st December 2024	31st March 2024
I.	**EQUITY AND LIABILITIES :**			
1	**SHAREHOLDERS' FUNDS**			
	Share Capital	2.01	18,29,86,350	11,00,01,600
	Reserves and Surplus	2.02	69,98,93,470	32,56,82,337
	Money Received Against Share Warrants		-	-
	Sub-total		**88,28,79,820**	**43,56,83,937**
2	**Share Application Money Pending Allotment**		-	42,85,010
	Minority Interest		-	-
3	**NON-CURRENT LIABILITIES**			
	Long-Term Borrowings	2.03	24,96,53,651	34,15,25,079
	Other Long-Term Liabilities	2.04	-	7,10,38,574
	Long Term Provisions	2.05	63,90,353	51,07,345
	Sub-total		**25,60,44,004**	**41,76,70,998**
4	**CURRENT LIABILITIES**			
	Short-Term Borrowings	2.06	8,16,45,650	4,48,71,390
	Trade Payable	2.07	5,65,06,721	10,74,20,310
	Other Current Liabilities	2.08	3,72,91,994	8,65,10,104
	Short-Term Provisions	2.09	14,43,75,678	6,26,05,258
	Sub-total		**31,98,20,043**	**30,14,07,062**
	TOTAL EQUITIES AND LIABILITIES		**1,45,87,43,867**	**1,15,90,47,007**
II.	**ASSETS:**			
1	**NON-CURRENT ASSETS**			
	Property, Plant & Equipement			
	Tangible Assets	2.10	16,02,60,806	18,84,46,790
	Tangible Asset Under Development - WIP	2.10	60,68,88,455	30,49,05,997
	Intangible Assets	2.10	11,78,95,775	11,46,31,282
	Intangible Asset under Development - WIP	2.10	17,41,27,869	12,65,48,244
	Sub-total		**1,05,91,72,905**	**73,45,32,313**
	Non Current Investments	2.11	-	52,50,000
	Deferred tax Assets (Net)	2.12	18,77,474	2,56,451
	Long Term Loans and Advances	2.13	-	-
	Other Non Current Assets	2.14	3,30,15,794	2,06,14,510
	Sub-total		**3,48,93,268**	**2,61,20,961**
2	**CURRENT ASSETS**			
	Current Investments		-	-
	Inventories	2.15	8,27,640	10,76,618
	Trade Receivables	2.16	20,60,92,457	25,03,62,968
	Cash and Cash Equivalents	2.17	2,30,50,252	2,18,73,162
	Short-Term Loans and Advances	2.18	12,66,29,170	9,76,16,512
	Other Current Assets	2.19	80,78,175	2,74,64,473
	Sub-total		**36,46,77,694**	**39,83,93,733**
	TOTAL ASSETS		**1,45,87,43,867**	**1,15,90,47,007**
	Significant Accounting policies	1.00		

The notes referred to above form an integral part of the Financial Statements
As per our Report Attached of even date

RKAS & CO. ★ CHARTERED ACCOUNTANTS ★

VIRTUAL GALAXY INFOTECH LTD ★

ASHISH SHAHU
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
10th March 2025

UDIN: 25150960BMLHPH6689

For VIRTUAL GALAXY INFOTECH LIMITED

A. N. Shende
Director
DIN- 02179381

S. P. Pande
Director
DIN- 02181154

A. V. Padhye
Company Secretary

VIRTUAL GALAXY INFOTECH LIMITED
(Formerly known as Virtual Galaxy Infotech Private Limited)
Profit and Loss for the period ended 31st December 2024

(Fig in ₹)

	PARTICULARS	Note No.	31st December 2024	31st March 2024
I.	Revenue from operations	2.20	1,01,24,72,072	61,46,39,455
II.	Other income	2.21	12,33,450	5,70,306
III.	**Total Income (I + II)**		**1,01,37,05,522**	**61,52,09,761**
IV.	**LESS : EXPENDITURE**			
	Cost of Material Consumed	2.22	42,01,14,973	20,03,57,331
	Changes in inventories of stock-in-trade	2.23	2,48,978	(3,37,034)
	Employee benefit expenses	2.24	7,84,11,042	7,10,30,507
	Finance costs	2.25	1,87,76,981	2,47,58,835
	Depreciation and amortization expenses	2.26	5,02,77,017	5,92,67,647
	Other Expenses	2.27	6,08,29,538	3,78,02,517
	Total Expenses		**62,86,58,529**	**39,28,79,803**
V.	Profit before exceptional and extraordinary items and tax		**38,50,46,993**	**22,23,29,958**
VI.	Exceptional items		-	-
VII.	Profit before extraordinary items and tax (V - VI)		**38,50,46,993**	**22,23,29,958**
VIII.	Extraordinary items		-	-
IX.	Profit before tax (VII - VIII)		**38,50,46,993**	**22,23,29,958**
X.	Tax expense :			
	a) Current tax expenses		**11,45,18,103**	**6,20,08,478**
	b) Current tax relating to prior years (net)		-	-
	c) Deferred tax charge/(credit)	2.12	(16,21,023)	(1,92,704)
	Net tax expenses/(benefit)		11,28,97,080	6,18,15,774
XI.	Profit / (Loss) for the period from continuing operations (IX-X)		**27,21,49,913**	**16,05,14,184**
XII.	Profit / (loss) for the period (XI + XIV)		**27,21,49,913**	**16,05,14,184**
XIII.	Earning per equity share :	2.30	**14.87**	**14.59**

As per our Report Attached of even date

ASHISH SHAHU
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
10th March 2025

UDIN: 25150960BMLHPH6689

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH LTD.

For VIRTUAL GALAXY INFOTECH LIMITED

A. N. Shende
Director
DIN- 02179381

S. P. Pande
Director
DIN- 02181154

A. V. Padhye
Company Secretary

VIRTUAL GALAXY INFOTECH LIMITED
(Formerly known as Virtual Galaxy Infotech Private Limited)
Cash Flow Statement as on 31st December 2024

(Fig in ₹)

Sr.No	Particulars	As At 31st December 2024	As at 31st March 2024
1	**Cash Flow Operating activities**		
	(a) Net Profit/ (Loss) before exceptional items and taxes	38,50,46,993	22,23,29,958
	Adjustments :		
	Depreciation & amortization	5,02,77,017	5,92,67,647
	Interest and Finance costs	1,87,76,981	2,47,58,835
	Interest income	(12,33,450)	(3,27,654)
	(Profit)/Loss on Sale of Fixed Assets	-	-
	Increase/(Decrease) in Short Term Provisions	8,17,70,420	4,89,63,258
	Increase/(Decrease) in Long Term Provisions	12,83,008	51,07,345
	Operating Profit before Working Capital changes	**53,59,20,969**	**36,00,99,389**
	(b) Working capital changes :		
	- (Increase)/Decrease in Inventories	2,48,978	(3,37,034)
	- (Increase)/Decrease in Trade Receivables	4,42,70,512	(1,75,85,248)
	- (Increase)/Decrease in Short Term Loans & Advances	(2,90,12,658)	(75,31,717)
	- Increase/(Decrease) in Trade Payables	(5,09,13,589)	1,64,88,807
	- Increase/(Decrease) in Other Current Liabilities	(4,92,18,111)	2,93,91,377
	- (Increase)/Decrease in Other Current Assets	1,93,86,298	(1,05,65,252)
	Net cash from Operating Activities	**47,06,82,399**	**36,99,60,322**
	Less: Tax Paid	(11,45,18,103)	(6,20,08,478)
	Net cash from Operating Activities	**35,61,64,296**	**30,79,51,844**
2	**Cash Flow from Investing Activities**		
	(a) Increase in Fixed Assets		
	- (Increase)/Decrease in Tangible Assets	(6,19,306)	-
	- (Increase)/Decrease in Tangible Assets - WIP	(30,19,82,458)	(21,48,82,342)
	- (Increase)/Decrease in Intangible Assets	(2,47,36,220)	(3,06,56,802)
	- (Increase)/Decrease in Intangible Assets - WIP	(4,75,79,625)	(7,64,39,947)
	(b) (Increase)/Decrease in Other Non-current assets	(1,24,01,284)	7,75,720
	(c) (Increase)/Decrease in Other Non-current Investments	52,50,000	1,00,00,020
	(d) (Increase)/Decrease in Other Long term Loans & Advances	-	-
	(e) Interest Received	12,33,450	3,27,654
	Net cash from Investing Activities	**(38,08,35,443)**	**(31,08,75,697)**
3	**Cash Flow from Financing Activities**		
	(a) Increase/(Decrease) in Long Term Borrowings	(9,18,71,428)	10,01,795
	(b) Increase/(Decrease) in Other Long Term Liabilities	(7,10,38,574)	1,73,98,724
	(c) Increase/(Decrease) in Short Term Borrowings	3,67,74,260	42,66,595
	(d) Increase/(Decrease) in Share Application Money Pending Allotment	(42,85,010)	42,85,010
	(e) Increase/(Decrease) in Share Issue	17,50,45,970	-
	(f) Interest and other Finance costs	(1,87,76,981)	(2,47,58,835)
	Net cash from Financing Activities	**2,58,48,237**	**21,93,289**
	Net increase/(decrease) in cash and cash equivalents	**11,77,090**	**(7,30,564)**
	Add : Cash and cash equivalents at the beginning of the period	2,18,73,162	2,26,03,726
	Cash and cash equivalents at the end of the period	**2,30,50,252**	**2,18,73,162**

As per our Report Attached of even date

NOTES

1 . The above statement has been prepared following Indirect Method as per AS - 3.
2 . Proceeds of long term and other borrowings are shown net of repayments.
3 . Cash and Cash Equivalents represent Cash, Fixed deposits and Bank Balances only.

ASHISH SHAHU
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH LTD

For VIRTUAL GALAXY INFOTECH LIMITED

A. N. Shende
Director
DIN- 02179381

S. P. Pande
Director
DIN- 02181154

Nagpur, dated the
10th March 2025

UDIN: 25150960BMLHPH6689

A. V. Padhye
Company Secretary

NOTE "1"- SIGNIFICANT ACCOUNTING POLICIES

1. **Company over view:**

Virtual Galaxy Infotech Limited (Formerly known as Virtual Galaxy Infotech Private Limited) was incorporated on 12th September 1997. The company operates global organization possessing an experienced and dedicated team of dynamic professionals, capable of offering innovative, high-quality software products, solutions & specialized software services, in the domain of Banking & Finance, ERP, E-Governance, Web Service, Cloud Computing, Data Management & System Integration.

Basis of Preparation of Financial Statements:

The Financial Statements are prepared on an accrual basis of accounting and in accordance with the Generally Accepted Accounting Principles in India. These financial statements have been prepared to comply in all material aspects with the accounting standards notified under section 133 read with rule 7 of the Companies (Accounts) Rules, 2014 and the other relevant provisions of the Company's Act, 2013.

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Company's Act, 2013 based on the nature of the products and the time between the acquisition of assets for processing and their realization of cash and cash equivalents.

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in preparation of these financial statements -

A. Property, Plant & Equipment

Tangible assets are shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready to use.

B. Depreciation

Depreciation on all tangible assets is provided on Written down value Method in accordance with Schedule II of the Companies Act, 2013. Management has not charged the depreciation to the Software Development called V-Pay, since it is developing stage.

R K A S & CO. CHARTERED ACCOUNTANTS

C. Impairment of Assets

An asset is treated as impaired when the carrying cost of assets exceeds its recoverable value. An impairment loss is charged to Statement of Profit & Loss in the year in which an asset is identified as impaired. The impairment loss recognized in prior accounting period is reversed if there has been change in the estimate of recoverable amount.

D. Inventory Valuation

Inventories are valued at lower of cost or net realizable value, whichever is lower. Inventories are valued at FIFO basis and includes all purchase related expenses.

E. Revenue Recognition

a. Sales are recognized when goods are supplied and are recorded net of discounts. Sales values are presented net of Goods and Service tax in the statement of profit and loss account.
b. Income from other receipts are recognized on completion and on acceptance by the customers.
c. Interest income is recognized using proportion method, based on rates implicit in the transactions.

F. Income from Investments

Current investments are carried at lower of cost and Quoted/Fair value, computed category wise. Long-Term Investments are stated at cost. Provision for diminution in the value of Long-term Investments is made only if such a decline is other than temporary.

G. Taxes on Income – Current and Deferred

Income Taxes are accounted for in accordance with Accounting Standard 22 on "Accounting for Taxes on Income", (AS 22) issued by The Institute of Chartered Accountants of India. Tax expense comprises both current tax and deferred tax. Current tax is measured at the amount expected to be paid or recovered from the tax authorities using the applicable tax rates. Deferred tax assets and liabilities are recognized for future tax consequence attributable to timing difference between taxable income and accounting income that are measure at relevant enacted tax rates. At each Balance sheet date the company reassesses unrealized deferred tax assets, to the extent they become reasonably certain or virtually certain of realization, as the case may be.

H. Employee Benefits

Gratuity and all the other retirement benefits is accounted for on accrual basis. Company's contribution to provident fund and other fund is charges to Profit and Loss account. PFs are treated as defined contribution plans. PF Contribution is made to the Regional Provident Fund Commissioner.

RKAS & CO. CHARTERED ACCOUNTANTS

I. Provisions and Contingencies

a. Provisions involving substantial degree of estimation in measurement are recognized when there is a present obligation as a result of past events and it is probable that there will be an outflow of resources.
b. Contingent liabilities are not recognized but are disclosed in the Notes when there is a possible obligation or a present obligation that probably will not require an outflow of resources or where a reliable estimate of the obligation cannot be made.
c. Contingent assets are neither recognized nor disclosed in the financial statements.

J. Foreign currency transactions and translations

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that closely approximate the rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are restated at the exchange rate prevalent on the Balance Sheet date and gain/ loss on such restatement is charged to the Statement of Profit and Loss.

K. Borrowing Costs

Borrowing costs that are attributable to the acquisition or construction of qualifying assets are capitalized as part of the cost of such assets. A qualifying asset is one that necessarily takes a substantial period of time to get ready for its intended use or sale. All other borrowing costs are charged to revenue.

L. Earnings per Share

Basic earnings per share is computed by dividing the profit / (loss) after tax (including the post-tax effect of extraordinary items, if any) by the weighted average number of equity shares outstanding during the year.

M. Cash and cash equivalents (for purposes of Cash flow statement)

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term balances, highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

N. Cash Flow Statements

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of the past or the future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flow from operating, Investing and Financing activities of the company are segregated accordingly. Amounts in the financial statements are rounded off to the nearest rupee.

RKAS & CO.
CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH LIMITED
(Formerly known as Virtual Galaxy Infotech Private Limited)

Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND
The Company has only one class of shares,referred to as equity shares having a par value of ₹ 10/- per share. Each holder of equity shares is entitiled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.01 SHARE CAPITAL

A.

(Fig in ₹)

PARTICULARS	31st December 2024	31st March 2024
AUTHORISED CAPITAL :		
2,50,00,000 Equity Shares of ₹ 10/- each	25,00,00,000	25,00,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL :		
1,21,99,105 Equity Shares Of ₹ 10/- Each	12,19,91,050	11,00,01,600
60,99,530 Bonus Equity Shares of ₹ 10/- each	6,09,95,300	-
	18,29,86,350	**11,00,01,600**

(Note - The Company has issued further share capital of Rs. 1,19,89,450 and bonus issue of Rs. 6,09,95,300 during the reporting period which has increased the capital of the Company.)

B Details of Share Holding of more than 5% shares are set out below

Name of shareholder	No.of share held	No.of share held
Avinash N. Shende	74,45,698	51,00,000
% of Share holding	40.69%	46.36%
Sachin P. Pande	74,45,698	51,00,000
% of Share holding	40.69%	46.36%

(Note - The Company has issued further 11,98,945 number of shares and bonus issue of 60,99,530 shares in the ratio 1:2 i.e during the reporting period which has increased the capital of the Company.)

Note No. 2.1 (a) The Reconciliation of the No. of Shares outstanding at the beginning and at the end of the period

Particulars	Figures as at the end of the current reporting period	Figures as at the end of the Previous reporting period
Equity Shares:		
Shares outstanding at the beginning of the year	1,10,00,160	1,10,00,160
Equity Shares Issued during the year	11,98,945	-
Bonus Equity Shares Issued during the year	60,99,530	-
Shares bought back during the year	-	-
Shares outstanding at the end of the year	1,82,98,635	1,10,00,160

Note No. 2.1 (b) The changes in the shareholding of the promoters :

Particulars	Figures as at the end of the current reporting period	Figures as at the end of the previous reporting period
Avinash N. Shende	74,45,698	51,00,000
% of Share holding	40.69%	46.36%
% Change during the year	(5.67%)	0.00%
Sachin P. Pande	74,45,698	51,00,000
% of Share holding	40.69%	46.36%
% Change during the year	(5.67%)	0.00%

2.02 RESERVES AND SURPLUS

PARTICULARS	31st December 2024	31st March 2024
Retained Earnings		
Opening Balance	32,56,82,337	16,51,68,153
Add: Profit for the period	27,21,49,913	16,05,14,184
Less: Utilized for Bonus Issue	6,09,95,300	-
Less: Transfer to reserve, if any	-	-
Closing Balance	**53,68,36,950**	**32,56,82,337**
Securities Premium		
Securities Premium Reserve	**16,30,56,520**	**-**
Total	**69,98,93,470**	**32,56,82,337**

R K A S & CO. CHARTERED ACCOUNTANTS

2.03 LONG TERM BORROWINGS

(Fig in ₹)

PARTICULARS	31st December 2024	31st March 2024
Secured		
Term Loans		
From Banks	8,12,99,448	12,20,80,370
From Other Parties	-	-
Loans From Related Parties	1,10,04,203	1,42,54,203
Other Loans and Advances Payable	11,03,00,000	15,06,86,790
Unsecured		
Term Loans		
From Banks - Unsecured	-	8,48,965
From Other Parties - Unsecured	4,70,50,000	5,36,54,751
Total	**24,96,53,651**	**34,15,25,079**

Details of Long Terms Loans from Bank availed by company are stated as under:

Long term loans are from Bank of Maharashtra, Shankarnagar Nagpur branch are secured by way of Property Held by Both Directors of the Company and Hypothication of all fixed asset as appering in the balance sheet of the company.

2.04 OTHER LONG TERM LIABILITIES:

PARTICULARS	31st December 2024	31st March 2024
Unsecured Loan		
From NBFC	-	-
From Director	-	-
From Others	-	-
Creditors for Fixed Assets*	-	7,10,38,574
Total	**-**	**7,10,38,574**

*** Creditor for fixed asset contains amounts payable to parties for Software developments.**

2.05 LONG TERM PROVISIONS:

PARTICULARS	31st December 2024	31st March 2024
Provision for Employee Benefits	63,90,353	51,07,345
Total	**63,90,353**	**51,07,345**

2.06 SHORT TERM BORROWINGS:

PARTICULARS	31st December 2024	31st March 2024
Secured		
Loan Payable on Demand		
From Banks - Short Terrm	8,16,45,650	4,36,21,390
From Other Parties - Short Term	-	12,50,000
From Related Parties - Short Term	-	-
Total	**8,16,45,650**	**4,48,71,390**

Details of Cash Credit (Secured- Short Term) availed from bank.

1)Working capital loan is availed from Bank of Maharashtra, Shankarnagar Nagpur branch of ₹ 7.50 crores secured against the Hypothecation of Stocks and Receivables and collaterally secured by way of equitable mortgage on the prorerties held by both the directors of the company.

2) Overdraft facility availed from Pusad Urban Credit Co-opertaive Bank, secured against Fixed Deposit.

2.07 TRADE PAYABLES

PARTICULARS	31st December 2024	31st March 2024
Trade Payable - MSME	-	-
Trade Payable - Others	5,65,06,721	10,74,20,310
Trade Payable - Disputed MSME	-	-
Trade Payable - Disputed Other	-	-
Total	**5,65,06,721**	**10,74,20,310**

R K A S & CO.
CHARTERED ACCOUNTANTS

2.08 OTHER CURRENT LIABILITIES:

(Fig in ₹)

PARTICULARS	31st December 2024	31st March 2024
Interest accrued and due	-	1,08,000
Statutory Dues Payable	1,25,95,346	3,75,52,113
Advance from Customers	92,64,374	1,68,79,761
Audit Fees Payable	-	1,50,000
Rent Payable	1,20,259	1,41,259
Employees Payable	1,53,12,015	3,16,78,971
	3,72,91,994	**8,65,10,104**

2.09 SHORT TERM PROVISIONS:

PARTICULARS	31st December 2024	31st March 2024
Provision for Employee Benefits - Short Term	7,99,622	5,96,780
Provision for Taxation	14,35,76,056	6,20,08,478
Total	**14,43,75,678**	**6,26,05,258**

2.11 NON CURRENT INVESTMENTS

PARTICULARS	31st December 2024	31st March 2024
Investments in Equity Instruments	-	52,50,000
Total	**-**	**52,50,000**

2.12 DEFERRED TAX ASSETS/(LIABILITY)

PARTICULARS	31st December 2024	31st March 2024
Deferred Tax Asset / (Liability)		
Depreciation as per Companies Act	5,02,77,017	5,92,67,647
Depreciation as per Income Tax Act	4,37,92,925	5,84,96,830
Difference in WDV	64,84,092	7,70,817
Deferred Tax Asset / (Liability)	**16,21,023**	**1,92,704**
Deferred Tax Asset / (Liability)	**16,21,023**	**1,92,704**
Net Deferred Tax Asset DTA at the beginning of the year	2,56,451	63,747
Net Deferred Tax Asset DTA Charged/(reversed) to Statement of profit and loss	16,21,023	1,92,704
Net Deferred Tax Asset/(Liability) as at Balance Sheet date	**18,77,474**	**2,56,451**

R K A S & CO.
CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH LIMITED
Depreciation Schedule for Apr-Dec 2024

Note 2.10 - Property Plant and Equipments

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2024	Additions during the year	Deductions during the year	As on 31st December 2024	As on 1st April 2024	Additions during the year	Deductions during the year	As on 31st December 2024	As on 31st December 2024	As on 31st March 2024
Property Plant And Euipments										
Land	-	-	-	-	-	-	-	-	-	-
Land and Buildings	-	-	-	-	-	-	-	-	-	-
Machinery	45,61,93,288	-	-	45,61,93,288	26,78,98,833	2,87,47,554	-	29,66,46,387	15,95,46,901	18,82,94,455
Motor Vehicles	55,649	-	-	55,649	55,649	-	-	55,649	-	-
Furnitures and Fixtures	27,61,222	4,96,850	-	32,58,072	26,92,492	38,104	-	27,30,596	5,27,476	68,730
Office Equipments	8,73,334	1,22,456	-	9,95,790	7,89,728	19,633	-	8,09,361	1,86,429	83,606
Capital Work In-Progress	30,49,05,997	30,19,82,458	-	60,68,88,455	-	-	-	-	60,68,88,455	30,49,05,997
TOTAL	**76,47,89,490**	**30,26,01,764**	**-**	**1,06,73,91,254**	**27,14,36,702**	**2,88,05,291**	**-**	**30,02,41,993**	**76,71,49,261**	**49,33,52,788**

Note 2.09 - Other Intangible Assets

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2024	Additions during the year	Deductions during the year	As on 31st December 2024	As on 1st April 2024	Additions during the year	Deductions during the year	As on 31st December 2024	As on 31st December 2024	As on 31st March 2024
CBS & ERP Software	21,16,23,205	2,47,36,220	-	23,63,59,425	9,69,91,924	2,14,71,726	-	11,84,63,650	11,78,95,775	11,46,31,281
TOTAL	**21,16,23,205**	**2,47,36,220**	**-**	**23,63,59,425**	**9,69,91,924**	**2,14,71,726**	**-**	**11,84,63,650**	**11,78,95,775**	**11,46,31,281**

Note 2.09 - Intangible Assets Under Development

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2024	Additions during the year	Deductions during the year	As on 31st December 2024	As on 1st April 2024	Additions during the year	Deductions during the year	As on 31st December 2024	As on 31st December 2024	As on 31st March 2024
CBS & ERP Software Under Development	12,65,48,244	4,75,79,625	-	17,41,27,869	-	-	-	-	17,41,27,869	12,65,48,244
TOTAL	**12,65,48,244**	**4,75,79,625**	**-**	**17,41,27,869**	**-**	**-**	**-**	**-**	**17,41,27,869**	**12,65,48,244**

TOTAL	**1,10,29,60,939**	**37,49,17,609**	**-**	**1,47,78,78,548**	**36,84,28,626**	**5,02,77,017**	**-**	**41,87,05,643**	**1,05,91,72,905**	**73,45,32,313**

R K A S & CO.
CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH LIMITED
(Formerly known as Virtual Galaxy Infotech Private Limited)

2.13 LONG TERM LOANS AND ADVANCES :

(Fig in ₹)

PARTICULARS	31st December 2024	31st March 2024
Unsecured, considered good		
Loans and Advances to Related Parties	-	-
Loans and Advances to Others	-	-
Total	**-**	**-**

2.14 OTHER NON-CURRENT ASSETS :

PARTICULARS	31st December 2024	31st March 2024
Security Deposits	3,30,15,794	2,06,14,510
Total	**3,30,15,794**	**2,06,14,510**

2.15 INVENTORIES :

PARTICULARS	31st December 2024	31st March 2024
Closing Stock	-	-
Raw materials	-	-
Finished Goods	8,27,640	10,76,618
Total	**8,27,640**	**10,76,618**

2.16 TRADE RECEIVABLES:

PARTICULARS	31st December 2024	31st March 2024
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Unsecured : Considered Good More than 6 Months	1,24,26,253	2,16,68,581
Other trade receivables		
Unsecured : Considered Good Less than 6 Months	19,36,66,204	22,86,94,387
Total	**20,60,92,457**	**25,03,62,968**

2.17 CASH AND CASH EQUIVALENTS:

PARTICULARS	31st December 2024	31st March 2024
Cash In Hand	10,055	12,477
With Banks in Current Accounts	14,96,182	2,43,834
Bank deposits Maturity less than 12 Months	-	-
Bank deposits Maturity More than 12 Months	2,15,44,015	2,16,16,851
Total	**2,30,50,252**	**2,18,73,162**

2.18 SHORT TERM LOANS AND ADVANCES:

PARTICULARS	31st December 2024	31st March 2024
Unsecured Considered Good		
Others		
Advance to Creditors	2,86,88,858	2,77,17,390
Employee Advances	2,47,47,003	1,19,40,068
Loans & Advances to Related Parties	1,31,94,255	-
Loans & Advances to Others	5,99,99,054	5,79,59,054
Total	**12,66,29,170**	**9,76,16,512**

2.19 OTHER CURRENT ASSETS:

PARTICULARS	31st December 2024	31st March 2024
Balance With Statutory Authorities	80,78,175	2,74,64,473
Interest Accrued on Fixed Deposits	-	-
Total	**80,78,175**	**2,74,64,473**

R K A S & CO. CHARTERED ACCOUNTANTS

2.20 REVENUE FROM OPRATIONS:

(Fig in ₹)

PARTICULARS	31st December 2024	31st March 2024
Sales of Goods and Services	94,56,26,103	56,96,85,637
Export Revenue	6,68,45,969	4,49,53,818
Total	**1,01,24,72,072**	**61,46,39,455**

2.21 OTHER INCOME :

PARTICULARS	31st December 2024	31st March 2024
Other Income	-	-
Interest Received	12,33,450	3,27,654
Profit on Sale of Shares	-	33,600
Foreign Exchange Gain / Loss	-	2,09,052
Total	**12,33,450**	**5,70,306**

2.22 COST OF MATERIAL CONSUMED :

PARTICULARS	31st December 2024	31st March 2024
Material Consumed		
Opening Stock Material	-	-
Purchase Of Material	42,01,14,973	20,03,57,331
Closing Stock Of Material	-	-
Total	**42,01,14,973**	**20,03,57,331**

2.23 CHANGES IN INVENTORIRS OF STOCK IN TRADE:

PARTICULARS	31st December 2024	31st March 2024
Closing Stock at the end of the period	8,27,640	10,76,618
Less : Opening Stock at the beginning of the year	10,76,618	7,39,584
Total	**2,48,978**	**(3,37,034)**

2.24 EMPLOYEE BENEFITS EXPENSES :

PARTICULARS	31st December 2024	31st March 2024
Salaries, Allowances and other benefits	7,51,16,298	6,33,73,560
Contribution to Provident and other Funds	32,94,744	76,56,947
Total	**7,84,11,042**	**7,10,30,507**

2.25 FINANCE COSTS:

PARTICULARS	31st December 2024	31st March 2024
Finance Cost	1,80,75,779	2,16,87,122
Other Borrowing Cost	7,01,202	30,71,713
Total	**1,87,76,981**	**2,47,58,835**

R K A S & CO.
CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH LIMITED
(Formerly known as Virtual Galaxy Infotech Private Limited)

2.26 DEPRECIATION AND AMORTIZATIONS

(Fig in ₹)

PARTICULARS	31st December 2024	31st March 2024
Depreciation	5,02,77,017	5,92,67,647
Amortizations	-	-
Total	**5,02,77,017**	**5,92,67,647**

2.27 OTHER EXPENSES:

PARTICULARS	31st December 2024	31st March 2024
Direct Expenses		
ATM Service Charges	1,34,728	12,36,572
Data Entry Charges	-	14,50,000
Domain Renewal Client	-	72,839
Technical Charges	38,31,765	87,11,225
Site Development Expenses	8,41,218	6,29,080
SMS Services	24,86,779	16,09,615
Total	72,94,490	1,37,09,331
Indirect Expenses		
Business Promotion Expenses	47,15,607	12,34,023
Electricity and Power Expenses	33,31,420	28,74,531
Gain/Loss on foreign exchange fluctuation	12,779	-
Housekeeping Charges	1,48,014	-
Indirect Taxes	-	3,58,112
Insurance Expenses	2,63,669	25,590
Internet and Telephone Charges	10,27,350	29,42,114
IPO Related Expenses	75,86,800	-
Legal & Professional Charges	93,63,140	42,84,500
Licence and Certifications	38,16,804	1,62,780
Office Expenses	34,82,315	23,82,672
Parking Charges	77,200	-
Postage and Courier Expenses	71,495	4,14,064
Printing and Stationery	1,12,197	76,944
Penalties and Charges	11,73,522	-
Rent Expenses	16,96,660	9,06,000
Repair and Maintenance Expenses	18,84,170	2,13,522
ROC and Secretarial Expenses	12,44,001	1,60,800
Security Service Charges	66,760	43,896
Travelling and Conveyance Expenses	1,29,61,145	78,14,101
Transportation Expenses	-	49,537
Auditor Remuneration		
a) Audit Fees	5,00,000	1,50,000
b) Taxation Matters	-	-
c) Company Law Matters	-	-
	5,35,35,048	2,40,93,186
Total	**6,08,29,538**	**3,78,02,517**

R K A S & CO. CHARTERED ACCOUNTANTS

NOTE "2"- NOTES TO ACCOUNTS

Additional Disclosures

2.28 Contingent liabilities and commitments (to the extent not provided for)

(Fig in ₹)

Particulars	As on December 31st, 2024	As on March 31st, 2024
Income Tax –		
AY 2012-2013	15,11,552	15,11,552
AY 2014-2025	1,08,26,944	1,08,26,944
AY 2015-2016	36,08,70,960	36,08,70,960
(Company has filed the Appeal against the said demands)		
GST -		
FY 2018-2019	4,45,86,933	4,45,86,933
FY 2019-2020	4,49,32,001	4,49,32,001
FY 2020-2021	2,19,82,351	2,19,82,351
(Company has filed the Appeal against the said demands)		

(As of the date of signing the Audit report, the company has received an Appeal order in its favor in respect of the contingent liability amounting to ₹36,08,70,960 /- disclosed above for **AY 2015-2016**.)

2.29 Disclosures required under Section 22 of the Micro, Small and Medium Enterprises Development Act, 2006

(Fig in ₹)

Particulars	As on December 31st, 2024		As on March 31st, 2024	
	Principle	**Interest**	**Principle**	**Interest**
Principal amount remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
Interest due thereon remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
The amount of interest paid along with the amounts of the payment made to the supplier beyond the appointed day;	Nil	Nil	Nil	Nil
The amount of further interest due and payable even in the succeeding year, until such date when the interest dues as above are actually paid.	Nil	Nil	Nil	Nil

(Note: The Company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 06.)

2.30 Earnings per share (EPS)

Earnings per share is calculated in accordance with Accounting Standard 20 – "Earnings per share", notified by the Companies (Accounting Standards) Rules, 2006.

(Fig in ₹)

Particulars	As on December 31st, 2024	As on March 31st, 2024
Profit available for share holders	27,21,49,913	16,05,14,184
Number of equity shares – Basic	1,82,98,635	1,10,00,160
Weighted average no. of equity shares – Diluted	1,63,06,109	1,10,00,160
Earnings per share – Basic/Diluted	14.87	14.59

(The Company does not have any dilutive potential equity shares. Consequently the basic and diluted earnings per share of the Company remain the same.)

2.31 Capital-Work-in Progress (CWIP)

- **Tangible Asset CWIP aging schedule**

(Fig in ₹)

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Tangible CWIP	30,19,82,458	21,48,82,342	9,00,23,655	-	**60,68,88,455**
Total	**30,19,82,458**	**21,48,82,342**	**9,00,23,655**	-	**60,68,88,455**

- **Intangible Asset CWIP aging schedule**

(Fig in ₹)

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Intangible CWIP	4,75,79,625	7,64,39,948	-	5,01,08,296	**17,41,27,869**
Total	**4,75,79,625**	**7,64,39,948**	**-**	**5,01,08,296**	**17,41,27,869**

R K A S & CO. CHARTERED ACCOUNTANTS

Statement of Related Party & Transactions :

2.32 List of Related Parties where Control exists and Relationships:

Sr. No	Name of the Related Party	Relationship
1	Avinash N Shende	Executive Director & Chief Financial Officer
2	Sachin P Pande	Managing Director
3	Anjali Padhye	Company Secretary
4	Sampada Pande	Spouse of the Director
5	Shilpa Shende	Spouse of the Director
6	Virutal Galaxy Insurance Brokerage Pvt Ltd*	Subsidary Company
7	SIP Fund Private Limited*	Subsidary Company
8	Paynext Private Limited	Enterprises over which parties listed in have significant influence and transactions are carried out during the year.
9	Virtual Galaxy Fintech Private Limited	Enterprises over which parties listed in have significant influence and transactions are carried out during the year.
10	Sampada Infosolutions Private Limited	Enterprises over which parties listed in have significant influence and transactions are carried out during the year.

** The disinvestments were made in Virtual Galaxy Insurance Brokerage Private Limited on June 30, 2024 and SIP Fund Private Limited on February 16, 2024.*

R K A S & CO. CHARTERED ACCOUNTANTS

2.33 Transactions with the Related Parties and the closing balances at the end of the reporting period :

(Fig in ₹)

Transactions during the year:	For the Year/ Period Ended on	
	December 31, 2024	**March 31, 2024**
Salary Paid		
Avinash N Shende	90,00,000	49,22,400
Sachin P Pande	90,00,000	49,22,400
Shilpa Shende	13,50,000	15,24,300
Sampada Pande	13,50,000	15,24,300
Anjali Padhye	9,20,359	10,33,952
Loan Repaid to Directors		
Avinash N Shende	36,16,810	63,66,810
Sachin P Pande	16,33,190	36,16,810
Sampada Pande	-	50,16,810
Shilpa Shende	-	50,16,810
Loan Received from Directors		
Avinash N Shende	-	1,11,87,823
Sachin P Pande	-	52,50,000
Sampada Pande	10,00,000	36,16,810
Shilpa Shende	10,00,000	36,16,810
Purchases *(Revenue and Capital Purchases)*		
Paynext Private Limited (Capital)	2,01,44,640	-
Paynext Private Limited (Revenue)	4,53,42,032	2,87,36,998
Virtual Galaxy Fintech Private Limited (Capital)	2,39,42,764	14,23,58,400
Virtual Galaxy Fintech Private Limited (Revenue)	4,91,72,583	60,91,985
Sales		
Paynext Private Limited	2,37,05,120	4,32,30,102
Virtual Galaxy Fintech Private Limited	1,80,30,446	-

(Figures shown above are exclusive of GST and TDS.)

(Fig in ₹)

Outstanding Balance (Receivables)/Payable	For the Year/ Period Ended on	
	December 31, 2024	**March 31, 2024**
<u>Loan Balance</u>		
Avinash Shende	90,04,203	1,26,21,013
Sachin Pande	-	16,33,190
Sampada Pande	10,00,000	-
Shilpa Shende	10,00,000	-
Trade (Receivable)/Payable		
Paynext Private Limited - Trade Payable	71,20,240	6,55,28,491
Paynext Private Limited - Trade (Receivable)	(1,10,36,647)	(1,45,11,520)
Virtual Galaxy Fintech Private Limited - Trade Payable	51,255	4,99,80,610
Virtual Galaxy Fintech Private Limited - Trade (Receivable)	(98,69,619)	-
<u>Other Balances</u>		
Virtual Galaxy Insurance Broker Pvt. Ltd.	-	(52,50,000)
Virtual Galaxy Fintech Private Limited	92,00,000	-
Paynext Private Limited	39,94,255	-

R K A S & CO.
CHARTERED ACCOUNTANTS

2.34 Trade Receivable – Ageing Schedule –

(Fig in ₹)

Particulars	Less than 6 months	6 Months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed						
Trade receivables - Considered good	19,36,66,204	1,24,26,253	-	-	-	**20,60,92,457**
Trade receivables - doubtful debt	-	-	-	-	-	-
Disputed						
Trade receivables - Considered good	-	-	-	-	-	-
Trade receivables - doubtful debt	-	-	-	-	-	-
TOTAL	**19,36,66,204**	**1,24,26,253**	-	-	-	**20,60,92,457**

2.35 Trade Payable – Ageing Schedule –

(Fig in ₹)

Particulars	Less Than 1 Years	1-2 years	2-3 years	More than 3 years	Total
(i) MSME	-	-	-	-	-
(ii) Others	5,37,66,721	27,40,000			**5,65,06,721**
(iii) Disputed dues - MSME	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-
TOTAL	**5,37,66,721**	**27,40,000**	-	-	**5,65,06,721**

2.36 The Company has not generally called for confirmation from Trade payables, Trade receivables, unsecured loans, Loans and advances, deposit from parties/deposit with the parties etc. Management has however, Confirmed that these accounts are scrutinized and that these are current and are recoverable and payables.

2.37 The company has converted from Private Limited to Public Limited during the reporting period.

2.38 The Earnings per Share (EPS) figure provided in this report is calculated for a six-month period. This metric is derived by dividing the net income available to common shareholders by the weighted average number of shares outstanding during this timeframe.

2.39 Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.

2.40 Amounts in the financial statements are rounded off to the nearest rupee.

R K A S & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH LIMITED
(Formerly known as Virtual Galaxy Infotech Private Limited)
FINANCIAL RATIOS FOR THE PERIOD ENDING 31ST DECEMBER 2024

Sr. No.	Ratio	Numerator December 2024	Denominator December 2024	Numerator March 2024	Denominator March 2024	Current Period	Previous Period	% Variance	Reason for variance
a)	Current ratio	36,46,77,694	31,98,20,043	39,83,93,733	30,14,07,062	1.14	1.32	(13.73%)	NA
b)	Debt-equity ratio	33,12,99,301	88,28,79,820	45,74,35,043	43,56,83,937	0.38	1.05	(64.26%)	Variance due to Increase in Share holders fund due to Equity & Bonus issue.
c)	Debt service coverage ratio	45,41,00,991	7,38,74,149	30,63,56,440	2,14,94,035	6.15	14.25	(56.87%)	Variance due to changes in Profits before tax.
d)	Return on equity ratio	27,21,49,913	65,92,81,879	16,05,14,184	35,54,26,845	0.41	0.45	(8.59%)	NA
e)	Inventory turnover ratio	1,01,24,72,072	9,52,129	61,46,39,455	9,08,101	1,063.38	676.84	57.11%	Variance due to changes in turnover in the Current reporting period.
f)	Trade receivables turnover ratio	1,01,24,72,072	22,82,27,712	61,46,39,455	24,15,70,344	4.44	2.54	74.36%	Variance due to changes in turnover in the Current reporting period.
g)	Trade payables turnover ratio	42,01,14,973	8,19,63,516	20,03,57,331	9,91,75,907	5.13	2.02	153.72%	Variance due to better cash management practices, allowing it to pay suppliers more promptly.
h)	Net capital turnover ratio	1,01,24,72,072	4,48,57,651	61,46,39,455	9,69,86,671	22.57	6.34	256.15%	Variance due to decrease in Net Current Assets .
i)	Net profit ratio	27,21,49,913	1,01,24,72,072	16,05,14,184	61,46,39,455	0.27	0.26	2.93%	NA
j)	Return on capital employed	40,38,23,974	1,21,41,79,121	24,70,88,793	82,20,80,406	0.33	0.30	10.65%	NA
k)	Return on investment	27,21,49,913	88,28,79,820	16,05,14,184	43,56,83,937	0.31	0.37	(16.33%)	NA
The figures of the current period are for 9 months whereas for previous reporting period is of 12 month. Therefore these figures can not be said to be comparable.									

Notes :

a) **For Debt-equity ratio (Total Debt/Shareholder's equity)** : Debt includes long term borrowings and short term borrowings and shareholder's equity includes share capital and reserves & surplus as on 31st December 2024.

b) **For Debt service coverage ratio (Earnings available for debt service/Debt Service)** : Earnings Available for Debt service includes Profit before taxes increased by depreciation and Finance cost excluding finance charges and debt service includes Finance cost excluding finance charges and includes principal repayment on loans availed.

c) **For return on equity ratio (Net Profit after taxes/Average shareholder's equity)** : Average shareholder's equity is average of opening and closing of sumation of share capital and reserves & surplus.

d) **For inventory turnover ratio (Sales/Average inventory)** : Sales includes net revenue from operations excluding duty drawback and average inventory is average of opening & closing invetory.

e) **For trade receivables turnover ratio (Sales/Average trade receivables)** : Sales includes net revenue from operations excluding duty drawback and average trade receivables is average of opening and closing trade receivables.

f) **For trade payables turnover ratio (Purchases/Average trade payables)** : Purchases includes purchases during the year and average trade payables is average of opening and closing trade payables.

g) **For net capital turnover ratio (Sales/Average working capital)** : Sales includes net revenue from operations excluding duty drawback and average working capital is current assets less current liabilities.

h) **For return on capital employed (Earnings before interest and taxes/Capital employed)** : Earnings before interest and taxes includes profit before tax increased by finance cost excluding finance charges and capital employed includes share capital & reserves and surplus as increased by debt and deferred tax has been reduced from the derived figure.

i) **For return on investment (Net Profit after taxes/Average shareholder's equity)** : Average shareholder's equity is average of opening and closing of sumation of share capital and reserves & surplus.

R K A S & CO.
CHARTERED ACCOUNTANTS